



City of San Juan Capistrano Agenda Report

TO: Honorable Mayor and Members of the City Council

FROM: Benjamin Siegel, City Manager

SUBMITTED BY: Ken Al-Imam, Chief Financial Officer

PREPARED BY: Michelle Short, Finance Manager

DATE: December 7, 2020

SUBJECT: Annual Financial Report of Development Impact Fees Pursuant to Government Code Section 66006 (AB 1600) for the Fiscal Year Ended June 30, 2020

RECOMMENDATION:

Approve the attached Annual Financial Report of Development Impact Fees and make the findings contained herein.

EXECUTIVE SUMMARY:

The Annual Financial Report of Development Impact Fees for the fiscal year ended June 30, 2020, is provided to City Council as required by California Government Code Section 66006, which was enacted by Assembly Bill No. 1600 (AB 1600). This report (Attachment 1) provides financial information regarding the following funds of the City: Park-In-Lieu Fee Fund, Drainage Fee Fund, Capistrano Circulation Fee Program Fund (CCFP), Sewer Capital Improvement Fund, Housing-In-Lieu Fee Fund, Domestic Water Capital Improvement Fund and Non-Potable Water Capital Improvement Fund. All development impact fees that have been collected and interest earned on the fees have been spent or have been earmarked for spending as of June 30, 2020. Consequently, there are no funds that are required by California Government Code Section 66006 to be refunded to property owners.

DISCUSSION/ANALYSIS:

AB 1600 requires that local agencies annually report certain financial information related to Capital Improvement Projects (streets, transit facilities, parks, water lines, sewer lines, storm drains, etc.) that have been funded by development impact fees.

AB 1600 enacted Government Code Sections 66000-66008 that generally contain four requirements:

1. A local jurisdiction must follow the process set forth in the bill and make certain determinations regarding the purpose and use of each development impact fee, and establish a “nexus” or connection between a development project or class of projects and the public improvement being financed with the fee.
2. The fee revenue must be segregated from the General Fund in order to avoid the commingling of public improvement fees and General Fund revenues.
3. If the City has had possession of funds generated by development impact fees for five years or more, and has not spent such funds, or committed such funds to a project, it must make certain findings describing the continuing need to retain those funds. If the local jurisdiction is unable to make the findings required by state law, the City must refund the fees to property owners.
4. An annual report must be made of fees collected, interest earned, projects on which fees were expended, and any transfers or loans from the fee account. This report must be presented to the agency’s governing board within 180 days of the end of the fiscal year.

As demonstrated in Attachment 1, the following funds hold fees that remain unexpended after five years of receipt: Park-In-Lieu Fee Fund, CCFP Fund, Housing In-Lieu Fee Fund and Domestic Water Fund. AB 1600 provides that fees that remain unexpended after five years of receipt are not required to be refunded if they are committed to projects, or a finding has been made that there is a continuing need to retain these funds. The accumulated unexpended fees for the Park-In-Lieu Fee Fund and the Domestic Water Fund have been committed to certain specified capital improvement projects appropriated in the City’s Fiscal Year 2020-21 Amended Budget (Attachment 2).

Also, \$8,372,447 of CCFP funds are programmed to be used beginning in Fiscal Year 2022-23 for construction of the San Juan Creek Road/I-5 Underpass Improvements Project (CIP 07117). Accordingly, the City plans to use all unexpended CCFP funds currently held by the City for this project. In addition, \$4.8 million in Housing In-Lieu Fee Funds were disbursed in Fiscal Year 2020-21 for The Groves affordable housing project.

The findings required by AB 1600 to be made with respect to unexpended fees as of June 30, 2020, are set forth below:

1. The purposes for which these fees have been collected are for the projects identified in the Annual Financial Report of Development Impact Fees and related attachments.

2. There is a reasonable relationship between the fees and the purposes for which they have been collected. The fees are necessary to mitigate the impacts of development.
3. For projects that remain incomplete as of June 30, 2020, the approximate timing for the completion of these projects is set forth in the Annual Financial Report of Development Impact Fees and related attachments. The source of funding to complete these projects are existing reserves of the related funds and development impact fees anticipated to be collected in future fiscal years in amounts sufficient to complete these projects.
4. Funds held in the Park In-Lieu Fee Fund, CCFP Fund, Housing In-Lieu Fee Fund and Domestic Water Capital Improvement Fund as of June 30, 2020, have been committed to specified capital projects.

Based on the foregoing, the City is not required to refund any fees collected pursuant to the requirements of AB 1600.

FISCAL IMPACT:

As of June 30, 2020, no refund of development impact fees is required by the provisions of AB 1600.

ENVIRONMENTAL IMPACT:

Not applicable.

PRIOR CITY COUNCIL REVIEW:

Not applicable.

COMMISSION/BOARD REVIEW AND RECOMMENDATIONS:

This item does not go through the Commission/Committee review process.

NOTIFICATION:

Steven La Motte, Building Industry Association of Orange County

ATTACHMENTS:

Attachment 1 – Annual Financial Report of Developer Impact Fees

Attachment 2 – Fiscal Year 2020-21 Capital Improvement Program Commitments

CITY OF SAN JUAN CAPISTRANO
Annual Financial Report of Developer Impact Fees
Pursuant to Government Code Section 66006
(AB 1600 Report)
As of June 30, 2020

	6/30/2019	Park In-Lieu Fee (Fund 11)	Drainage Fee (Fund 12)	CCFP (Fund 18)	Sewer Improvement (Fund 72) ⁽¹⁾	Housing In-Lieu Fee (Fund 33)	Domestic Water (Fund 64)	Non-Potable Water (Fund 65)
Beginning Fund Balance (Available)		\$ 1,022,174.61	\$ (261,588.97)	\$ 9,049,046.04	\$ 3,863,666.14	\$ 5,449,729.12	\$ 1,245,431.36	\$ 1,118,557.39
Developer Fees & Other Sources:								
Developer fees		2,000,000	1,075.43	196,797.53	80,489.64	-	46,279.98	12,195.52
Interest Income		72,446.74	-	282,641.05	90,513.29	164,996.23	37,714.63	43,310.23
Grants		-	-	-	-	-	-	599,640.00
Loan Repayment		-	-	-	443,894.51	-	-	-
Other		-	-	-	447,592.61	-	-	-
Total Sources		2,072,446.74	1,075.43	479,438.58	1,062,490.05	164,996.23	83,994.61	655,145.75
Expenditures & Other Uses:								
Capital Projects Funded by Developer Fees (per attached list)		175,463.99	-	7,202.17	1,680,017.12	-	430,227.11	108,809.86
Total Uses		175,463.99	-	7,202.17	1,680,017.12	-	430,227.11	108,809.86
Ending Fund Balance (Available)	6/30/2020	\$ 2,919,157.36	\$ (260,513.54)	\$ 9,521,282.45	\$ 3,246,139.07	\$ 5,614,725.35	\$ 899,198.86	\$ 1,664,893.28
Breakdown of Ending Fund Balance:								
Contributed from rates (excluded from five year test)		2,919,157.36	(260,513.54)	9,521,282.45	2,296,139.07	5,614,725.35	899,198.86	1,664,893.28
Unexpended Impact fees & Interest (subject to five year test)		-	-	-	950,000.00	-	-	-
Total Ending Fund Balance	6/30/2020	\$ 2,919,157.36	\$ (260,513.54)	\$ 9,521,282.45	\$ 3,246,139.07	\$ 5,614,725.35	\$ 899,198.86	\$ 1,664,893.28
Five Year Revenue Test								
Fiscal Year 2015-2016		\$ 92,800.00	\$ 16,344.56	\$ 455,214.70	\$ 336,466.91	\$ 1,019,414.70	\$ 5,884.31	\$ 32,042.36
Fiscal Year 2016-2017		-	-	576,686.08	280,975.08	1,148,789.10	56,175.34	1,431.59
Fiscal Year 2017-2018		-	2,808.00	375,089.00	871,036.28	418,257.72	278,118.09	39,481.63
Fiscal Year 2018-2019		-	53,158.77	681,017.84	874,923.80	-	105,853.10	189,514.29
Fiscal Year 2019-2020		2,000,000.00	1,075.43	196,797.53	80,489.64	-	46,279.98	12,195.52
Total Received For The Five Years Ended	6/30/2020	\$ 2,092,800.00	\$ 73,386.76	\$ 2,284,805.15	\$ 2,443,891.71	\$ 2,586,461.52	\$ 492,310.82	\$ 274,665.39
Unexpended Impact Fees and Interest in Excess of Total Receipts of Last Five Years		\$ 826,357.36	\$ -	\$ 7,236,477.30	\$ -	\$ 3,028,263.83	\$ 406,888.04	\$ -
Committed to Capital Projects - Fiscal Year 2020-21		\$ 1,046,871.00	\$ -	\$ 2,573,722.00	\$ -	\$ -	\$ 1,010,703.00	\$ -
Amount in Excess of Allowed Deposit		\$ -	\$ -	\$ 4,662,755.30 ⁽²⁾	\$ -	\$ 3,028,263.83 ⁽³⁾	\$ -	\$ -

Notes:

⁽¹⁾ - In August 2015, the City Council approved a loan from certain funds of the City to the Water Operations Enterprise Fund in order to finance the City's refund of water use charges from August 2013 to July 2014. This loan was repaid in full by June 2020.

⁽²⁾ - \$8.4 million of CCFP funds is required to complete construction for the San Juan Creek Road Underpass Improvements Project (CIP No. 07117), which is expected to begin during Fiscal Year 2022-23. The excess amount is being retained for that project.

⁽³⁾ - \$4.8 million in Housing In-Lieu Fee Funds were disbursed in FY 2020-21 for The Groves affordable housing project.

**City of San Juan Capistrano
Capital Projects Funded from
Developer Fees
FY 2019/20**

	Proj #	Description	FY 2019/20 Final Budget	FY 2019/20 Actual	FY 2019/20 % Completed	FY 2019/20 % Funded With Fee
FUND 11	<u>Park-In-Lieu Fee Projects</u>					
	07204	City-wide Trail Improvements	\$ 47,000.00	\$ 12,103.290	25.8%	100.0%
	09209	Northwest Open Space Community Park	157,745.00	89,833.32	56.9%	100.0%
	14201	Cook Park Softball #2, #3; Soccer #2	13,955.00	880.00	6.3%	100.0%
	17202	Eastern Open Space Trails A and A-1	206,565.00	-	0.0%	0.0%
	18201	Cook La Novia Park Picnic Area Enhancements	170,840.00	4,891.04	2.9%	100.0%
	19201	Sports Park Field Improvement Study	14,480.00	12,067.34	83.3%	100.0%
	20204	Ramos Street Parking Lot Expansion	330,000.00	55,689.00	16.9%	100.0%
		Total - Parks & Recreation Projects	\$ 940,585.00	\$ 175,463.99	18.7%	100.0%
FUND 12	<u>Drainage Fee Projects</u>					
		No Projects				
		Total - Drainage Projects	\$ -	\$ -	0.0%	0.0%
FUND 18	<u>Capistrano Circulation Fee Program (CCFP) Projects</u>					
	07117	San Juan Creek Rd Underpass Improvements - Valle Rd to Camino Capistrano	\$ 1,102,850.00	\$ 2,102.50	0.2%	0.0%
	14103	Camino Las Ramblas @ I-5 Traffic Signal	291,440.00	-	0.0%	0.0%
	14104	Alipaz Street Widening, Camino Del Avion to Calle Rolando	27,505.00	-	0.0%	0.0%
	14107	Ortega Highway Widening Project (managed by Caltrans)	341,715.00	4,529.67	1.3%	100.0%
	16102	Del Obispo Widening - Via De La Paz	15,500.00	570.00	3.7%	100.0%
		Total-CCFP Projects	\$ 1,779,010.00	\$ 7,202.17	0.4%	100.0%
FUND 33	<u>Housing-In-Lieu Fee Projects</u>					
	10906	The Groves	\$ 4,800,000.00	\$ -	0.0%	0.0%
		Total - Housing In-Lieu Projects	\$ 4,800,000.00	\$ -	0.0%	0.0%

**City of San Juan Capistrano
Capital Projects Funded from
Developer Fees
FY 2019/20**

	Proj #	Description	FY 2019/20 Final Budget	FY 2019/20 Actual	FY 2019/20 % Completed	FY 2019/20 % Funded With Fee
FUND 72	<u>Sewer Improvement Projects</u>					
	07701	South Orange County Wastewater Authority PC#2 and PC#5 Rehab.	\$ 3,150,000.00	\$ 1,680,017.12	53.3%	100.0%
	08701	Grease Food Interceptor Program	35,415.00	-	0.0%	0.0%
	17702	Sewer Flow Metering & SCADA Monitoring Project	199,010.00	-	0.0%	0.0%
		Total - Sewer Improvement Projects	\$ 3,384,425.00	\$ 1,680,017.12	49.6%	100.0%
FUND 64	<u>Domestic Water Projects</u>					
	07803	Terminal Reservoir No. 3	\$ 45,470.00	\$ -	0.0%	0.0%
	07811	760S Reservoir	28,970.00	-	0.0%	0.0%
	16804	Water Master Plan Study	100,000.00	-	0.0%	0.0%
	17801	San Juan Hills Greens Cathodic Protection System	515,935.00	430,047.11	83.4%	100.0%
	17803	Valve Insertion Program	285,555.00	180.00	0.1%	100.0%
		Total - Domestic Water Projects	\$ 975,930.00	\$ 430,227.11	44.1%	100.0%
FUND 65	<u>Non-Potable Water Projects</u>					
	19601/20601	Recycled Water Service Conversions	\$ 257,735.00	\$ 108,470.11	42.1%	100.0%
	17806	Water Facility Control Systems	72,805.00	339.75	0.5%	10.0%
		Total - Non-Potable Water Projects	\$ 330,540.00	\$ 108,809.86	32.9%	97.3%

Fiscal Year 2020/21 Capital Improvement Program
Revised Budget as of 10/31/20

		Total 2020/21 Capital Budgets		
		Park In-Lieu Fee Fund 11	CCFP Fund 18	Domestic Water Capital Improvement Fund 64
Project #	Project Name			
07117	San Juan Creek Rd Underpass Improvements - Valle Rd to Camino Capistrano		\$1,371,667	
07204	City-wide Trail Improvements	\$ 109,897		
07803	Terminal Reservoir No. 3			\$ 45,470
07811	760S Reservoir			\$ 28,970
09209	Northwest Open Space Community Park	67,912		
14103	Camino Las Ramblas and I-5 Northbound Traffic Signal Modification		291,440	
14107	Ortega Highway Widening		337,185	
16102	Del Obispo Widening - Via De La Paz		14,930	
16804	Water Plan Master Study			100,000
17202	Eastern Open Spaces Trails A and A-1	206,565		
17801	San Juan Hills Greens Cathodic Protection			350,888
17803	Valve Insertion Program			485,375
18201	Cook La Novia Park Picnic Area Enhancements	50,949		
20204	Ramos Street Parking Lot Expansion	274,311		
21103	Stonehill Drive Traffic Signal at Lower Rosan		558,500	
21201	Stakeboard Park	337,237		
Committed to Capital Projects		\$ 1,046,871	\$2,573,722	\$ 1,010,703